

# Sample Full Investment Policy Statement

## 1. Mandate Overview

Portfolio PORT\_MVO\_900 is a balanced institutional multi-asset portfolio with portfolio value of \$250 million. The objective is to construct a diversified allocation that balances expected return, volatility, liquidity, and governance controls.

The current review authorizes an optimization workflow to evaluate the portfolio against updated policy limits before any production action is taken.

## 2. Return and Risk Policy

Target annual return should be 5.25%. Risk aversion lambda is 3.5 for the current review cycle. The optimizer should favor diversified return sources and penalize excess variance.

The portfolio should remain long-only and should not introduce leveraged asset-class exposure during this recommendation review.

## 3. Allocation Constraints

Single asset class exposure must not exceed 40%. Cash floor must be at least 3% of portfolio value to preserve operating liquidity. The portfolio manager may not waive these constraints without governance approval.

| Constraint             | Policy limit | Workflow field                           |
|------------------------|--------------|------------------------------------------|
| Target annual return   | 5.25%        | asset_allocation.target_return           |
| Risk aversion lambda   | 3.5          | asset_allocation.risk_aversion           |
| Single asset class max | 40%          | asset_allocation.max_single_asset_weight |
| Minimum cash weight    | 3%           | asset_allocation.min_cash_weight         |

#### 4. Current Portfolio Analytics

The current portfolio has expected return of 4.72%, volatility of 8.35%, Sharpe ratio of 0.31, cash allocation of 1.2%, and maximum single asset class exposure of 52%. These analytics should be shown before the optimization workflow applies the IPS constraints.

| Asset class  | Current weight | Policy comment                   |
|--------------|----------------|----------------------------------|
| US Equity    | 52.0%          | Above single asset class maximum |
| Core Bonds   | 24.0%          | Within policy                    |
| Alternatives | 15.0%          | Within policy                    |
| Cash         | 1.2%           | Below cash floor                 |

## **5. Governance and Approval Policy**

Materiality notional is \$250 million. This review is a production constraint change because the approved concentration limit is being revised. Recommendation output must be reviewed before implementation.

The evidence packet should include the source IPS, extracted fields, workflow context patch, before and after analytics, optimizer result, validation summary, and governance tier.

Prepared for Decision Intelligence demo use only.